MGT411 - Money & Banking (Quiz # 2)

Question # 4 of 10 (Start time: 01:20:49 PM, 24 June 2025)

Which of the following is NOT included in the assets of commercial banks?

Select the correct option

○	Cash Items
●	Bills payable
○	Securities
○	Reserves

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Question # 8 of 10 (Start time: 01:21:57 PM, 24 June 2025)

In long run investment_____?

Select the correct option

○	Both have the same risk
●	Bonds are less risky then stocks
○	None of the given options
○	Stocks are less risky then bonds

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Question # 10 of 10 (Start time: 01:22:30 PM, 24 June 2025)

The theory of efficient market states that prices of financial instruments reflect:

Select the correct option

◉	All available information
○	Imperfect information
○	No information
○	Some of the information

MGT411 - Money & Banking (Quiz # 2)

Question # 7 of 10 (Start time: 01:21:27 PM, 24 June 2025)

Which one of these not the role of financial intermediaries?

Select the correct option

○	Reduction of information and transaction cost
○	Gathering the small saving
◉	None of above
○	Diversification of risk

MGT411 - Money & Banking (Quiz # 2)

Question # 5 of 10 (Start time: 01:21:01 PM, 24 June 2025)

If Bubbles burst, what will be the effect on the economy?

Select the correct option

○	Allocation of resources will be less efficient
○	Growth of economy will be low
●	All of the given options
○	It destabilize the real economy

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Question # 9 of 10 (Start time: 01:22:17 PM, 24 June 2025)

If a bank earns $22,000 net profit after taxes and has $412,000 in assets, what is its return on assets ratio?

Select the correct option

○	2.8%
○	18.72%
○	6.5%
●	5.3%

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Question # 1 of 10 (Start time: 01:19:58 PM, 24 June 2025)

Which of the following methods of financing need a channel to work efficiently?

Select the correct option

○	Operating finance
○	Working capital finance
●	Indirect financing
○	Direct financing

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Question # 3 of 10 (Start time: 01:20:29 PM, 24 June 2025)

Which statement is wrong about the bubbles?

Select the correct option

○	These bubbles inevitably burst, creating crashes.
○	Bubbles is price deviation due to investor behavior
◉	Bubbles are much helpful to keep the financial system working smoothly
○	Bubbles is financial terminology that depict the price vitality

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Question # 6 of 10 (Start time: 01:21:13 PM, 24 June 2025)

Which of the following market deals with fund transfer form those who have excess funds to those who have shortage of funds?

Select the correct option

- ○ Real markets
- ○ Derivative exchange markets
- ○ Fund-available markets
- ◉ Financial markets

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MGT411 - Money & Banking (Quiz # 2)

Question # 2 of 10 (Start time: 01:20:12 PM, 24 June 2025)

Often a bank will require a loan officer to make personal visits on customers with loans outstanding. This is encouraged because:

Select the correct option

- ◉ This is an effective monitoring technique and should reduce moral hazard
- ○ The bank worries about competitors trying to steal their customers
- ○ The bank wants to make sure the business is still there
- ○ The bank likely has excess funds available and hopes to make another loan to the business